

per share, or \$13.2 billion. If approved by shareholders, Mesa's investment group stood to make a \$760 million profit on its 21.7 million-share position in Gulf. At a special meeting on June 15, Gulf's shareholders approved the merger with Socal. At Mesa's \$45 per share average, Socal's \$80 per share offer for Gulf represented an 80 percent return on an almost \$1 billion investment in fewer than 12 months, a stunning return by any measure for an ostensibly failed takeover. For his part, Pickens wrote in his autobiography that "[t]his is what the Business Roundtable calls raiding:"²⁶

The way I see it, when you invest \$1 billion in a company's stock—as we did in Gulf's—you're not a raider, you're a very large stockholder. You should enjoy all the rights of ownership, including an open dialogue with management about changes that could benefit all shareholders. We weren't asking for anything special. We just wanted to talk.

After Gulf, Mesa continued in its attempts to restructure the major oil companies, making hostile runs at majors Philips and Unocal. The recapitalization of Phillips and Unocal—both triggered by pressure from Mesa—resulted in significant gains to existing shareholders. In neither campaign did Pickens get control, but both times Mesa walked away with a sizeable return. Philips agreed to restructure by buying back 38 percent of its stock, delivering to Mesa in three short months a 40 percent gain worth about \$90 million.²⁷ Unocal similarly agreed to buy back stock, delivering an \$83 million gain on Pickens' \$1 billion position.²⁸ In each case the companies also increased cash dividends, sold assets, and made major reductions in exploration and development expenditures. Pickens' thesis that oil and gas companies were overcapitalized and needed to reduce capacity was gradually accepted by industry and academics alike.

CAPITAL ALLOCATION AND RESTRUCTURING

Pickens' efforts to restructure the industry did eventually lead it to collectively return capital and become more efficient. In *The New Financial Capitalists*, George Baker and George Smith wrote that, while they adopted a different structure, Pickens' attempt to implement the royalty trust achieved the same end that leveraged buy-outs (LBOs) did:²⁹

The companies that ended up owning the assets, including the oil reserves, had to take on large amounts of debt to finance their acquisitions, which always required huge cash payments to preexisting